

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-08

**CARLSTAR GROUP LLC f/k/a CARLISLE TRANSPORTATION PRODUCTS, INC.
and CTP TRANSPORTATION PRODUCTS, LLC**

v.

UTi, UNITED STATES, INC.; UTi UNITED STATES, LLC; and DSV AIR & SEA, INC.

PRELIMINARY RULING ON RESPONDENTS' MOTION TO DISMISS

INTRODUCTION

I. BACKGROUND.

On August 31, 2017, complainants The Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc., and CTP Transportation Products, LLC, filed a Complaint with the Commission alleging that respondents UTi, United States, Inc.; UTi, United States, LLC; and DSV Air & Sea, Inc. violated sections 41102(c), 41104(2), and 41104(4) of the Shipping Act of 1984. 46 U.S.C. §§ 41102(c), 41104(2), and 41104(4). Although Carlisle is the entity that signed the Carlisle Transportation Products Agreement (Agreement) that is the subject of this proceeding, in the Complaint, Complainants refer to themselves as Carlstar. For convenience, except when describing the Agreement, they will be referred to as Carlstar in this memorandum. Respondents will be referred to as UTi, the non-vessel-operating common carrier (NVOCC) that signed the Agreement.

On joint motion of the parties, the time for UTi to answer or otherwise respond to the Complaint was extended twice to give the parties an opportunity to engage in settlement discussions and mediation with the Commission's Office of Consumer Affairs and Dispute Resolution Services (CADRS). *Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. and CTP Transportation Products, LLC v. UTi, United States, Inc.; UTi United States, LLC; and DSV Air & Sea, Inc.*, FMC No. 17-08 (ALJ Sept. 28, 2017) (Order Staying Proceeding for Limited Time) (*Carlstar v. UTi*); *Carlstar v. UTi*, FMC No. 17-08 (ALJ Oct. 23, 2017) (Second Order Staying

Proceeding for Limited Time). Settlement discussions did not result in resolution of the parties' dispute.

On December 8, 2017, UTi filed a motion to dismiss the Complaint for lack of subject matter jurisdiction and for failure to state a claim. UTi also contends that the Agreement between the parties requires that their dispute be resolved by arbitration, not a complaint filed with the Commission. If the Complaint is not dismissed in its entirety, UTi argues that the Act's statute of limitations bars claims for alleged violations that occurred more than three years before Carlstar filed its Complaint.

On December 26, 2017, Carlstar filed a response to the motion. A request by UTi for enlargement of time to reply was granted with instructions for UTi to address the effect, if any, of agreements tolling the statute of limitations described in paragraphs 32 through 34 of the Complaint on UTi's statute of limitations argument. *Carlstar v. UTi*, FMC No. 17-08 (ALJ Dec. 26, 2017) (Order Enlarging Time to File Reply Memorandum). On January 2, 2018, an order was entered directing Carlstar to file a supplemental memorandum setting forth its contentions regarding the operational status of UTi on the shipments that were subject to the parties' transportation agreement. The order further enlarged the time for UTi to file its reply to permit it to respond to Carlstar's response to the motion to dismiss and to Carlstar's supplemental memorandum in one response. The order also granted leave for Carlstar to file a sur-reply limited to UTi's response to the question regarding the tolling agreements and UTi's response to Carlstar's supplemental memorandum. *Carlstar v. UTi*, FMC No. 17-08 (ALJ Jan. 2, 2018) (Amended Order Enlarging Time to File Reply Memorandum and Order Directing Complainants to Supplement Brief Responding to Respondents' Motion to Dismiss). Carlstar filed its supplemental memorandum, UTi filed its reply, and Carlstar filed its sur-reply.

The motion is ripe for decision on some of the issues raised by the motion. One issue requires additional information and briefing.

This document sets forth preliminary rulings on issues that appear ripe for decision. It appears that the motion to dismiss because the Agreement requires arbitration should be denied. The Commission has held that it has jurisdiction over complaints alleging Shipping Act violations even when there has been an earlier successful arbitration. It appears that the motion to dismiss for lack of subject matter jurisdiction should be denied. If UTi's motion is construed as a facial attack, the Complaint appears to allege sufficiently the Commission's subject matter jurisdiction. If construed as a factual attack, it appears that the attack implicates the merits of Carlstar's claims, in which case it is appropriate to deny the motion to dismiss and reach the merits. No preliminary ruling is made on UTi's statute of limitations argument. A party may request reconsideration of the preliminary rulings set forth in this document in its brief ordered in Part VII below. A request for reconsideration should identify a substantive error in material fact contained in the preliminary ruling. *Compare* 46 C.F.R. § 502.261.

As set forth in Part VII, further information and briefing is necessary regarding the Agreement pursuant to which UTi transported the shipments. Section 41104(2)(A) of the Act

permits a common carrier such as UTi to provide service in the liner trade either in accordance with a tariff or in accordance with a service contract. UTi states that the Agreement is not a service contract, and it does not appear that UTi provided the service in accordance with a tariff. The Commission has exempted NVOCCs from some provisions of the Act through the creation of NVOCC Service Arrangements (NSA) and NVOCC Negotiated Rate Arrangements (NRA). It may be that UTi provided the transportation pursuant to an NSA or an NRA. If possible, it is in the interest of judicial economy to establish the authority pursuant to which UTi transported the shipments at this stage of the proceeding before ruling on the motion to dismiss. Therefore, the parties are ordered to provide additional information on this point.

II. FACTS AND PROCEDURAL HISTORY.

A. Complaint.

Except where noted, the following facts are summarized from Complainants' Complaint filed with the Commission on August 31, 2017, and the attachments to the Complaint. The facts alleged in a complaint are assumed to be true when considering a motion to dismiss. *Sinaltrainal v. Coca-Cola Company*, 578 F.3d 1252, 1260 (11th Cir. 2009).

Complainant Carlstar Group LLC is a Tennessee corporation. In 2011, Carlstar was known as Carlisle Transportation Products, Inc. By 2014, complainant CTP Transportation Products, LLC, had been established to take Carlisle's place. On February 26, 2015, CTP Transportation Products, LLC, changed its name to Carlstar Group LLC.

Respondent UTi, United States, Inc., was an NVOCC and ocean freight forwarder licensed by the Commission (License No. 001792). I take official notice of Commission records, 46 C.F.R. § 502.226, indicating that UTi, United States, Inc., voluntarily surrendered its Commission license effective December 12, 2016. Respondent UTi, United States, LLC, is a successor-in-interest to UTi United States, Inc. UTi, United States, Inc., is alleged to be a subsidiary of respondent DSV Air & Sea, Inc., a freight forwarder that provides transport and logistics services, including warehousing, distribution, packing, and loading. I take official notice of Commission records indicating that DSV Air & Sea, Inc., is licensed by the Commission as an NVOCC and ocean freight forwarder (License No. 017331). DSV Air & Sea, Inc., is alleged to be the United States subsidiary of its parent company, DSV Air & Space Holding A/S in Copenhagen, Denmark.

The Complaint alleges that on June 1, 2011, Carlisle and UTi executed a Carlisle Transportation Products Agreement (Agreement) that obligated UTi to provide Carlisle with "world-class ocean freight negotiation and management services" including, but not limited to, "freight forwarding, brokerage, contract logistics and consulting services" as well as duties delineated in a Statement of Work attached to the Agreement. (Complaint ¶¶ 8-9 and Exhibit 1.) In return, Carlisle agreed to compensate UTi according to the schedule of pricing and handling fees in accordance with the rates in an attachment to the Agreement. The pricing schedule reflected "usual commercial terms in the service area provided" and would be reviewed on an annual basis.

Where industry and commerce trends and conditions allowed for more favorable rates, UTi pledged its best efforts to modify its rate structures so that both parties could take advantage of the more favorable rates without sacrificing service. UTi agreed to notify Carlisle promptly when commercial and world conditions required increased rates and costs. (Complaint ¶¶ 10-13.) The original Agreement was in effect until June 30, 2012, and was extended by amendments through December 31, 2015. The amendments also recorded changes in Carlisle's name. (Complaint ¶¶ 14-22.)

The Agreement obligated UTi "to perform and provide such Services as may be mutually agreed to by Carlisle and UTi, including but not limited to freight forwarding, brokerage, contract logistics and consulting services" and obligated Carlisle to "use UTi exclusively for its ocean freight forwarding and NVOCC requirements in Asia Pacific, Africa, North and South America, Europe and Australia." (Complaint Exhibit 1 at 1.) UTi is described as "an independent contractor for all purposes." (*Id.* at 4.)

Appendix A to the Agreement provides, *inter alia*:

- o UTi will conduct joint Carlisle UTi RFP/negotiations for each ocean contract required.
- o UTi will draft RFP requirements in accordance with Carlisle's reasonable instructions and business rules to present to carriers at the commencement of each RFP.

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- o Carriers invited into process will be chosen jointly by Carlisle & UTi team UTi assesses and recommends carriers by lanes from the RFP process and presents to Carlisle for approval a UTi is responsible for managing carriers.
- o UTi is responsible for signing ocean freight contracts and the subsequent (MQC) Minimum Quantity commitment fulfillment.

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- o As noted, all rates fees and charges are between UTi & Carlisle. That those rates [*sic*], fees and charges mirror the actual rates, fees and charges between UTi and each Ocean Carrier.
- o UTi agrees to provide comprehensive management and access to all rates, fees, charges that are agreed upon by Carlisle, UTi and the Ocean carriers used to transport Carlisle shipments by UTi.

(Complaint Exhibit 1 Appendix A.) To establish the rates for full container load shipments, "[t]ripartite negotiated activities will be conducted in open book sessions during the [request for quotation] with the provision that multiple carrier selections per lane will be utilized and managed within the operational context of each transactional lane." (Complaint Exhibit 1 Appendix B.) The tripartite activities apparently included Carlisle, UTi, and a vessel-operating common carrier under consideration under the provisions of Attachment A.

In 2016, due to concerns about the rates UTi charged Carlisle for transportation services, Carlstar retained Ocean Audit, Inc. to engage in an audit of the invoices, payments, and financial records reflecting payments by Carlisle to UTi during the period from 2011 through 2016. This Ocean Audit allegedly revealed significant discrepancies between the amount UTi billed Carlisle under the Agreements versus the amount UTi should have billed Carlisle. Carlstar alleges that UTi overcharged at least \$805,825.56 for the period from 2011 through 2016. Carlstar contends that prior to the Ocean Audit, it was not aware of the overcharges. UTi allegedly imposed the charges by multiple billing for shipments, improperly charging bill of lading fees on a per container basis rather than on a per shipment basis, ocean freight billing errors, and bunker fuel charge invoice errors. As a result of the alleged overcharges uncovered by Ocean Audit, Carlstar conducted an internal audit of the pass-through and miscellaneous charges paid by Carlisle to UTi from January 2014 through April 2016 and found additional alleged overcharges.

As specific acts in violation of the Shipping Act committed by UTi, Carlstar alleges:

24. This Ocean Audit . . . revealed significant discrepancies between the amount UTi billed Carlstar under the Agreements versus the amount UTi should have billed Carlstar.

25. Prior to the Ocean Audit, Carlstar was not aware of UTi's overcharges alleged in this Complaint.

26. The amount Carlstar was overcharged, and the amount it overpaid, for UTi shipments was at least \$805,825.56 for the period from 2011 through 2016. See Exhibits 5-12.

27. The Ocean Audit analysis suggests that \$151,925.63 is due for duplicate pay and hybrid claims. See Exhibits 5-9. More specifically, the following five (5) shipments were double-billed, triple-billed, or incorrectly billed:

a. Invoice Nos. CLT338574300 and CLT338574302 show double billing, as the same Shipment No. 5861142431 is listed on these two (2) invoices, resulting in an overcharge of \$39,384.51. See Exhibit 5.

b. Invoice No. 29000103373 shows double billing as Shipment No. 5861206526 only had two (2) containers, but Carlstar was billed for four (4) containers, resulting in an overcharge of \$7,120.00. See Exhibit 6.

c. Invoice No. 29000799420-1 shows that UTi overcharged Carlstar by \$19,209.00, as it contains incorrect BAF billing on Shipment No. 114109940. See Exhibit 7.

d. Invoice No. 29000070632 shows that UTi overcharged Carlstar \$63,694.12 as: (1) Shipment No. 5861211869 only had four (4) containers, but Carlstar was billed for eight (8) containers; (2) Shipment No. 5861211869 contains an incorrect freight billing amount on Shipment No. 5861211869; and (3) Shipment No. 5861211869 was billed twice. See Exhibit 8.

e. Invoice Nos. 29000262702-1, 29000262702-2 and 29000262702-4 reflect an over-payment by Carlstar of \$22,518.00 related to Shipment No. 103906865. See Exhibit 9.

28. The Ocean Audit analysis suggests that UTi improperly charged Carlstar bill of lading fees on a per container basis, rather than on a per shipment basis, for 548 shipments invoiced between February 2014 and February 2016, resulting in \$132,519.00 of bill of lading fee overcharges. See Exhibit 10.

29. The Ocean Audit analysis suggests that \$385,730.93 is due for ocean freight billing errors. See Exhibit 11.

30. The Ocean Audit analysis suggests that \$135,650.00 is due for bunker fuel charge invoice errors. See Exhibit 12.

31. As a result of the overcharges uncovered by Ocean Audit, Carlstar conducted an internal audit of the pass-through and miscellaneous charges paid by Carlstar to UTi from January 2014 through April 2016. Carlstar has not identified any back-up documentation provided by UTi evidencing that \$4,349,344.50 of these alleged charges were actually incurred by UTi, thereby constituting overcharges, and UTi has failed to provide the documentation to Carlstar as requested. See Exhibit 13.

(Complaint (emphasis deleted).)

Carlstar contends that UTi violated section 41102(c) of the Shipping Act by failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property; section 41104(2) by charging rates greater than the published tariff and/or the Agreement; and section 41104(4) by charging unfair and potentially discriminatory fees. 46 U.S.C. §§ 41102(c), 41104(2), and 41104(4).

Beginning January 13, 2017, UTi, United States, Inc. and Carlstar Group LLC entered into a series of agreements tolling the running of time under any applicable statute of limitations, laches, or other defense of similar import the parties may have against each other. The last tolling agreement expired August 31, 2017, the date the Secretary received Carlstar's Complaint.

B. Motion to Dismiss.

UTi filed a motion to dismiss arguing that the Commission does not have jurisdiction over the Complaint and that the Complaint fails to state a claim of violation of the Shipping Act. UTi also contends that the Agreement, which requires arbitration of any disputes the parties are unable to resolve themselves, (Complaint Exhibit 1 ¶ 19.h), mandates dismissal of the Commission Complaint. UTi further contends that if the Commission does have jurisdiction over the Complaint,

the Act's statute of limitations provision precludes a reparation award for any damages that Carlstar suffered on shipments more than three years before Carlstar filed its Complaint.

C. Carlstar's Response.

Carlstar filed a response to the motion to dismiss. Carlstar disputes all of the arguments that UTi contends justify dismissal of the Complaint.

D. Order to Supplement.

UTi moved for an enlargement of time to file its reply to Carlstar's response. In the order granting the motion, UTi was instructed "to include in their reply a discussion of the effect of the tolling agreements described in paragraphs 32-34 of the Complaint on Respondents' statute of limitations argument." *Carlstar v. UTi*, FMC No. 17-08 (ALJ Dec. 29, 2017) (Order Enlarging Time to File Reply Memorandum).

As noted above, UTi was licensed by the Commission as both an NVOCC and an ocean freight forwarder. It was not clear from Carlstar's Complaint, the Carlisle Transportation Products Agreement, or Carlstar's opposition to UTi's motion to dismiss whether Carlstar contends UTi was operating as an NVOCC or an ocean freight forwarder on the shipments that were subject to the Carlisle Transportation Products Agreement.¹ Therefore, Carlstar was ordered *sua sponte* to supplement its response to the motion to dismiss with a brief setting forth its contentions regarding the operational status of UTi on the shipments that were subject to the Agreement. As part of the supplemental response, Carlstar was directed to respond to the following questions:

1. Did UTi issue its own bills of lading on the shipments subject to the Carlisle Transportation Products Agreement?
2. Did vessel-operating common carriers or other NVOCCs issue bills of lading identifying UTi as the shipper on the shipments subject to the Carlisle Transportation Products Agreement?

Carlstar v. UTi, FMC No. 17-08, Order at 5 (ALJ Jan. 2, 2018) (Amended Order Enlarging Time to File Reply Memorandum and Order Directing Complainants to Supplement Brief Responding to Respondents' Motion to Dismiss). The time for UTi to serve and file its reply to Carlstar's response was enlarged to permit UTi to reply to Carlstar's original response and to the supplemental brief in

¹ Both NVOCCs and ocean freight forwarders are subject to the provisions of section 41102(c) of the Act, which applies to common carriers and ocean transportation intermediaries, because an ocean freight forwarder is an ocean transportation intermediary. 46 U.S.C. § 40102(19). Section 41104 applies only to common carriers. Therefore, if UTi operated as an ocean freight forwarder on the Carlisle shipments, it would not be subject to the provisions of section 41104.

one filing. Carlstar was granted the opportunity to file a sur-reply limited solely to the issue of the operative date for the statute of limitations and to UTi's reply to Carlstar's supplemental brief. *Id.*

E. Carlstar's Supplemental Memorandum.

In its supplemental response, Carlstar states that "[i]t is Carlstar's contention that UTi was operating as an NVOCC on the shipments that were subject to the Carlisle Transportation Products Agreement." (Complainants' Supplemental Memorandum in Opposition to Respondents' Motion to Dismiss at 1-2.) Carlstar states that UTi issued its own bills of lading on the Carlisle shipments and that the vessel-operating common carriers issued bills of lading identifying UTi as the shipper on the Carlisle shipments. (Complainants' Supplemental Memorandum in Opposition to Respondents' Motion to Dismiss at 2.) Carlstar attached representative documentation to support these statements.

F. UTi's Reply.

UTi filed a reply to Carlstar's arguments in response to UTi's motion. In response to the order instructing it to address the effect of the tolling agreements, UTi modifies its argument on the statute of limitations to contend that claims that arose before December 20, 2016, apparently the date on which the parties agreed to the tolling, are barred by the statute of limitations. In response to Carlstar's supplemental brief, UTi states that UTi operated "exclusively" as an NVOCC on the shipments. (Respondents' Reply to Complainants' Opposition and Supplemental Brief to Motion to Dismiss at 3.) UTi does not contest the documentation attached to Carlstar's supplemental response demonstrating that UTi and vessel-operating common carriers issued bills of lading for the shipments.

G. Carlstar's Sur-Reply.

The order granted leave for Carlstar to file a sur-reply "**limited solely to the issue of the operative date for the statute of limitations and to respondents' reply to complainants' supplemental brief.**" *Carlstar v. UTi*, FMC No. 17-08, Order at 5 (ALJ Jan. 2, 2018) (Amended Order Enlarging Time to File Reply Memorandum and Order Directing Complainants to Supplement Brief Responding to Respondents' Motion to Dismiss) (emphasis in original). Carlstar did not limit its sur-reply solely to the issue of the operative date for the statute of limitations and to UTi's reply to Carlstar's supplemental brief, but reargued positions argued in Carlstar's response to the motion to dismiss. In another order issued today, the portions of Carlstar's sur-reply not addressing the operative date for the statute of limitations or UTi's reply to Carlstar's supplemental brief are stricken. *Carlstar v. UTi*, FMC No. 17-08 (ALJ Feb. 22, 2018) (Order Striking Complainants' Sur-Reply).

III. STATUTORY FRAMEWORK.

Carlstar filed its Complaint pursuant to section 41301 of the Act. “A person may file with the . . . Commission a sworn complaint alleging a violation of this part, except section 41307(b)(1). If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.” 46 U.S.C. § 41301(a).

UTi was licensed by the Commission as an NVOCC and as an ocean freight forwarder within the meaning of the Act. “The term ‘non-vessel-operating common carrier’ means a common carrier that – (A) does not operate the vessels by which the ocean transportation is provided; and (B) is a shipper in its relationship with an ocean common carrier.” 46 U.S.C. § 40102(16).

The term “common carrier” – (A) means a person that – (i) holds itself out to the general public to provide transportation by water of passengers or cargo between the United States and a foreign country for compensation; (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.

46 U.S.C. § 40102(6).

The term “ocean freight forwarder” means a person that – (A) in the United States, dispatches shipments from the United States via a common carrier and books or otherwise arranges space for those shipments on behalf of shippers; and (B) processes the documentation or performs related activities incident to those shipments.

46 U.S.C. § 40102(18).

The Act sets forth requirements and prohibitions on NVOCCs and ocean freight forwarders. The Complaint alleges that UTi violated sections 41102(c), 41104(2), and 41104(4) of the Act.

Section 41102(c) of the Act provides: “A common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c).

Section 41104 governs operations by common carriers, including NVOCCs.

A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not – . . . (2) provide service in the liner trade that is – (A) not in accordance with the rates, charges, classifications, rules, and practices contained in a tariff published or a service contract entered into under chapter 405 of this title or

(B) under a tariff or service contract that has been suspended or prohibited by the Federal Maritime Commission under chapter 407 or 423 of this title; . . . (4) for service pursuant to a tariff, engage in any unfair or unjustly discriminatory practice in the matter of – (A) rates or charges; (B) cargo classifications; (C) cargo space accommodations or other facilities, with due regard being given to the proper loading of the vessel and the available tonnage; (D) loading and landing of freight; or (E) adjustment and settlement of claims.

46 U.S.C. § 41104.²

The Complaint alleges that Carlstar was injured by UTi’s alleged violations and seeks a reparation award for the injuries. The Act defines actual injury.

(a) *Definition.* – In this section, the term “actual injury” includes the loss of interest at commercial rates compounded from the date of injury.

(b) *Basic amount.* – If the complaint was filed within the period specified in section 41301(a) of this title, the . . . Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation of this part, plus reasonable attorney fees.

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(e) *Attorney Fees.* – In any action brought under section 41301, the prevailing party may be awarded reasonable attorney fees.

46 U.S.C. § 41305.

IV. THE COMMISSION RULES OF PRACTICE AND PROCEDURE PERMIT CONSIDERATION OF A MOTION TO DISMISS.

The Commission’s Rules of Practice and Procedure (Rules), 46 C.F.R. Part 502, do not explicitly provide for a motion to dismiss for lack of subject matter jurisdiction or a motion to dismiss for failure to state a claim.

Rule 12 of the Commission’s Rules of Practice and Procedure (the Rules) states that the Federal Rules of Civil Procedure will be followed in instances that are not covered by the Commission’s Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. As the Commission’s Rules do not address motions to dismiss for lack of subject matter

² The Complaint cites section 41104(2) and 41104(4), but does not appear to claim violations of sections 41104(2)(B) or 41104(4)(B) through 41104(4)(E).

jurisdiction or failure to state a claim, Federal Rules 12(b)(1) and 12(b)(6) apply in this case. See, e.g., *The Lake Charles Harbor and Terminal District v. West Cameron Port, Harbor and Terminal District*, 2007 WL 2468431 (F.M.C.).

Rule 12(b)(1) permits a party to raise by motion lack of subject matter jurisdiction, and Rule 12(b)(6) permits a party to raise by motion failure to state a claim. With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under Rule 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction. . . . A factual attack challenges “the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered.” . . . In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction. As it does when considering a Rule 12(b)(6) motion to dismiss for failure to state a claim, the court construes the complaint in the light most favorable to the plaintiff and accepts all well-pled facts alleged . . . in the complaint as true.

Sinaltrainal v. Coca-Cola Company, 578 F.3d 1252, 1260 (11th Cir. 2009).

To survive motions to dismiss for failure to state a claim under Rule 12(b)(6), a complaint must contain sufficient factual matter, accepted as true, to “state a claim to relief that is plausible on its face.” *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544, 570 (2007). A claim “has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.” *Ashcroft v. Iqbal*, [556 U.S. 662, 677] (2009). The complaint must be sufficient to “give the defendant fair notice of what the . . . claim is and the grounds upon which it rests.” *Bell Atlantic*, 550 U.S. at 555 (quoting *Conley v. Gibson*, 355 U.S. 41, 47 (1957)); see also 5 Charles Alan Wright & Arthur R. Miller, *Federal Practice & Procedure Civ.* § 1215 (3d ed. 2010) (“[T]he test of a complaint’s sufficiency simply is whether the document’s allegations are detailed and informative enough to enable the defendant to respond.”).

Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc., FMC No. 09-01, Order at 19-20 (FMC Aug. 1, 2011) (Order Denying Appeal, etc.).

The Commission has jurisdiction over allegations that “involve elements peculiar to the Shipping Act.” *Cargo One, Inc. v. COSCO Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1645 (FMC 2000). Allegations “involving unfair or unjustly discriminatory practices, undue or unreasonable preferences, undue or unreasonable prejudice or disadvantage, and just and reasonable regulations and practices, are inherently related to Shipping Act prohibitions and are therefore appropriately brought before the Commission.” *Id.*

DISCUSSION

V. PRELIMINARY RULINGS.

Preliminary rulings are entered on some of UTi's arguments for dismissal. A party may request reconsideration of the preliminary rulings set forth in this document in its brief ordered in Part VII below. A request for reconsideration should specify a change in material fact or applicable law, identify a substantive error in material fact in the preliminary ruling, or address a finding, conclusion or other matter upon which the party has not previously had the opportunity to comment or which was not addressed in the briefs or arguments of any party. *Compare* 46 C.F.R. § 502.261.

A. Preliminary Ruling-- The Arbitration Clause Does Not Require Dismissal of the Commission Proceeding.

UTi contends that the arbitration clause in the Agreement requires Carlstar to arbitrate its claims; therefore, the Commission should dismiss this proceeding.

A separate and independent reason to dismiss the Verified Complaint is that the Parties' agreement contains a binding, mandatory arbitration clause, pursuant to which Carlstar must arbitrate its claims. The Agreement between the Parties clearly states that "[a]ny controversy which shall arise between CTP and UTi regarding the rights, duties, or liabilities of either party hereunder . . . shall be settled by binding arbitration in New York, New York in accordance with the Arbitration Act and pursuant to the rules of the American Arbitration Association." Compl. Ex. 1, page 7.

It is well established that the Federal Arbitration Act embodies the liberal federal policy in favor of arbitration, and the United States Supreme Court has held that any doubts concerning the scope of arbitrable issues should be resolved in favor of arbitration. *See Moses H. Cone Memorial Hosp. v. Mercury Constr. Corp.*, 460 U.S. 1, 24-25 (1983); *McDonnell Douglas Fin. Corp. v. Pennsylvania Power & Light Co.*, 858 F.2d 825, 832 (2d Cir. 1988). The Federal Maritime Commission therefore routinely requires parties to submit to arbitration when an approved contract has a mandatory arbitration provision. *See Ivarans I*, 895 F.2d at 1446 (citing *Firestone Int'l Co. v. Far E. Conference*, 9 F.M.C. 119, 128 (1965)).

Carlstar expressly alleges that these charges by UTi breached the agreement, *see* Compl. ¶¶ 8-24. Therefore, Carlstar's claims must be arbitrated pursuant to that agreement's arbitration provision, and the Commission should dismiss this proceeding.

(Motion to Dismiss at 10.)

Commission precedent establishes that an arbitration provision does not deprive the Commission of its authority to determine whether a respondent committed Shipping Act violations. Anchor Shipping Co. (Anchor), an NVOCC licensed by the Commission, and Aliança Navegação E Logística Ltda. (Aliança), a vessel-operating common carrier, were parties to a service contract that included an arbitration clause. Before commencing its Commission proceeding, Anchor initiated arbitration against Aliança as required by the terms of the service contract. An arbitrator from the Society of Maritime Arbitrators issued a decision addressing issues under the service contract and issues under the Shipping Act. The arbitrator found in Anchor's favor, deducted an amount for freight charges and interest she found that Anchor owed Aliança, and awarded Anchor a net of \$381,880.59 in damages, interest, legal expenses, and "Allowance for Party costs leading to the interim Award." (Arbitration between Anchor and Aliança Under Service Contract EC99-0511, Decision and Final Award at 57 (July 31, 2001)). Aliança paid the \$381,880.59 awarded by the arbitrator. See *Anchor Shipping Co. v. Aliança Navegação E Logística Ltda.*, FMC No. 02-04, Memorandum at 3 (ALJ Sept. 27, 2007) (Memorandum and Order on Respondents' Partial Motion to Dismiss and/or for Summary Judgment) (summarizing proceeding).

Anchor then filed a complaint with the Commission alleging Shipping Act violations and sought \$1 million as a reparation award. The Administrative Law Judge dismissed the complaint based on the arbitration award. The Commission vacated the dismissal and remanded for further proceedings. The Commission held that the fact the service contract between the parties required arbitration:

does not outweigh the Commission's duty to protect the public by ensuring that service contracts are implemented in accordance with the Shipping Act. . . . To preclude Anchor from proceeding with its complaint solely because a private arbitrator previously issued a ruling would be inconsistent with our statutory mandate to hear such complaints.

Anchor Shipping Co. v. Aliança Navegação E Logística Ltda., 30 S.R.R. 991, 998 (FMC 2006). The Commission stated that "[o]n remand, we direct the ALJ to address only those allegations involving Shipping Act violations, and any dispute previously addressed by the Arbitrator that are based upon common law breach of contract claims shall remain binding upon the parties." *Id.*, at 999-1000. Accordingly, even if Carlstar had successfully pursued arbitration prior to filing the Complaint and been awarded damages, the Commission would still need to "address . . . those allegations [in Carlstar's Complaint] involving Shipping Act violations."

Therefore, it appears that UTi's motion to dismiss because of the arbitration clause should be denied.

B. Preliminary Ruling – Subject Matter Jurisdiction.

1. The parties' arguments.

UTi contends that Carlstar's claims are based on alleged violations of the Agreement, not on alleged violations of the Shipping Act.

Complainants' claims are based on UTi's alleged breach of the Parties' agreement, including subsequent amendments, between Carlstar and UTi. Complainants assert a total claim of \$5,155,170.06, plus interest, costs, and attorneys' fees, against Respondents. Of the total amount of the claim, \$521,380.93 of the claim arises out of so-called "overcharges" based upon an audit from a dubious and disreputable source, which allegedly calculated the correct rate that UTi should have charged Carlstar "under the Agreements" by relying on an unknown methodology. *See* Compl. ¶¶ 24–30 & Exs. 11 and 12. The majority of the claim, for \$4,349,344.50, is based upon UTi's alleged failure to provide back-up documentation evidencing that these charges were actually incurred by UTi. *See id.* ¶ 31 & Ex. 13. Further, \$132,519.00 of the claim is based upon the Parties' dispute of a commercial term of service between Carlstar and UTi, mainly whether UTi should have charged Carlstar bill of lading fees on a per container or per shipment basis. *See id.* ¶ 28 & Ex. 10. And lastly, \$151,925.63 of the claim is based upon alleged double, triple or otherwise incorrect invoicing or billing issues. *See id.* ¶ 27 & Exs. 5-9.

It is apparent that the allegations asserted by Complainants set forth pure breach of contract claims and commercial claims for alleged failures to charge what was agreed upon per the agreement between the Parties, alleged failures to substantiate charges with back-up documentation, and allegedly incorrect billing and improper calculation of a documentation fee. Even if true, these allegations would not involve any violation of the Shipping Act. Complainants' claims regarding alleged overcharges allege a breach of the agreement between the Parties, *see id.* ¶ 24 – which called for all freight charges to Carlstar to mirror the charges between UTi and the Ocean Carrier, *see id.*, Ex. 2, App. A – and not for violation of any tariff or a FMC compliant instrument. *See id.*, Exs. 11-12 (setting forth an explanation of alleged ocean freight and bunker adjustment fuel overcharges based on an unexplained calculation of the "correct rate" conjured up by Ocean Audit, Inc. and not based on analysis of any FMC-compliant rate vehicle). Moreover, Carlstar has in no way described how an alleged failure to substantiate charges with back-up documentation or an alleged failure to calculate correctly a documentation fee would constitute an overcharge in violation of any published tariff, *see* the Shipping Act, as amended, § 41104(2), or an application of unfair or discriminatory practices in the matter of rates and charges for service provided pursuant to a tariff, *see id.* § 41104(4).

(Motion to Dismiss at 8-9.)

Carlstar responds:

UTi contends that the five-year shipping relationship between Carlstar, a shipper, and UTi, [an NVOCC] licensed by the Commission during the relevant time period, . . . falls outside the scope of the Shipping Act, and, consequently, outside the subject matter jurisdiction of the . . . Commission. UTi attempted to assert an identical argument in its motion to dismiss in *Streak Products, Inc. v. UTi, United States, Inc.*, in 2013. *See Streak Products, Inc. v. UTi, United States, Inc.*, FMC No. 13-04, Order ([ALJ]³) Oct. 23, 2013) (Order Denying Motion to Dismiss). The Commission rejected UTi's argument in the *Streak Products* case in 2013, and should do the same now in this matter.

Indeed, UTi once again seeks refuge in a regulatory quagmire of its own making. UTi's Motion admits that the Agreements between UTi and Carlstar "called for all freight charges to Carlstar to mirror the charges between UTi and the Ocean Carrier." (Mot. at 9.) Carlstar's claim under 46 U.S.C. § 41104(2) includes an allegation that UTi violated the Act by charging rates greater than those permitted by the Agreements, which Carlstar contends should be considered a "service contract" under 46 U.S.C. § 41104(2)(A). UTi contends that Carlstar cannot maintain claims under the Act to remedy UTi's apparent overcharging scheme because UTi inexplicably failed to file the Agreements with the Commission, as UTi was required to do pursuant to 46 U.S.C. § 40502(b)(1). (Mot. at 9.) While UTi notes that "[t]he Commission has statutory responsibility to ensure that parties implement agreements as approved by and filed with the Commission" (citations omitted), UTi contends that the Commission's authority "does not extend to agreements that are not filed with the [Commission]." (Mot. at 9.)

UTi made a similar argument in the *Streak Products* case, but the Commission rejected UTi's contention that "if the common carrier completely fails to comply with the Act and does not publish a tariff at all . . . a shipper may not receive a reparation award because there is no measure of damages – no 'delta between the service rate charged and the applicable tariff rate.'" *See Streak Products*, FMC No. 13-04, Order at 7-8 ([ALJ] Oct. 23, 2013). The Commission should likewise reject UTi's subject matter jurisdiction arguments here, as UTi should not be able to escape regulation by the Commission by deliberately failing to comply with the Act's filing requirements for service contracts like the Agreements between UTi and Carlstar.

(Carlstar Response at 3-4.)

³ *Streak Products* was before a Commission Administrative Law Judge on a motion to dismiss. The quoted language is from the Judge's order, not a decision of the Commission on review of a judge's decision.

2. Discussion.

Construing UTi's argument as a facial attack on subject matter jurisdiction, the Complaint alleges that UTi, an ocean transportation intermediary licensed by the Commission to engage in international transportation of cargo by water, violated the Shipping Act while transporting cargo internationally for Carlstar. It appears that this sufficiently alleges the Commission's subject matter jurisdiction.

Construing UTi's argument as a factual attack on subject matter jurisdiction, it appears that the attack implicates the merits of Carlstar's claims.

The proper course of action for the district court . . . is to find that jurisdiction exists and deal with the objection as a direct attack on the merits of the plaintiff's case. . . . Judicial economy is best promoted when the existence of a federal right is directly reached and, where no claim is found to exist, the case is dismissed on the merits. This refusal to treat indirect attacks on the merits as Rule 12(b)(1) motions provides, moreover, a greater level of protection to the plaintiff who in truth is facing a challenge to the validity of his claim: the defendant is forced to proceed under Rule 12(b)(6) . . . or Rule 56 . . . both of which place great restrictions on the district court's discretion. . . . As a general rule a claim cannot be dismissed for lack of subject matter jurisdiction because of the absence of a federal cause of action. The exceptions to this rule are narrowly drawn, and are intended to allow jurisdictional dismissals only in those cases where the federal claim is clearly immaterial or insubstantial.

Lawrence v. Dunbar, 919 F.2d 1525, 1529 (11th Cir. 1990), *quoting Williamson v. Tucker*, 645 F.2d 404, 412 (5th Cir.), *cert. denied*, 454 U.S. 897 (1981). Therefore, it appears that UTi's motion to dismiss for lack of subject matter jurisdiction should be denied.

C. Preliminary Ruling – Carlstar Fails to Assert a Violation of 46 U.S.C. § 41102(c).

1. The parties' arguments.

UTi argues:

Complainants' claim of a violation of 46 U.S.C. § 41102(c) must be dismissed, because Complainants [fail] to allege with any level of factual detail that UTi has failed to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property." It is well established that Section 10(d)(1) of the Shipping Act, as amended, 46 U.S.C. § 41102(c), relates not to alleged overcharges and billing issues that arise after the shipment has been completed, but to unreasonable practices connected with the handling, storage or delivery of freight and property when it is in

the custody of the NVOCC. See *Petra Pet, Inc. v. Panda Logistics Ltd, Panda Logistics Co., Ltd and RDM Solutions*, 33 S.R.R. 4 (F.M.C. 2013) (finding that an NVOCC's withholding and aborting of a shipment to coerce payment of a debt for other shipments was an unreasonable practice and violated section 10(d)(1), and that the failure of an NVOCC to remit freight payments and to communicate with or provide the status of the shipment to the shipper was a Section 10(d)(1) violation); *William J. Brewer v. Saeid B. Maralan (aka Sam Bustani) & World Line Shipping, Inc.*, 29 S.R.R. 6 (F.M.C. 2001) (NVOCC held to have violated Section 10(d)(1) when it refused to release the cargo at the destination port unless additional money was paid, and instructed its agent to place the shipment on hold); *Hugh Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871 (ALJ 1993) (NVOCC's failure to carry out its obligation to transport the cargo or to return the money despite repeated demands was held a violation of section 10(d)(1) as it showed "a failure to establish, observe and enforce just and reasonable regulations and practices"); *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 18-19 (ALJ 1991) (finding that ocean freight forwarder's failure to pay ocean freight in a timely manner is a section 10(d)(1) violation); *William R. Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11 (ALJ 1991) (NVOCC failed to establish, observe, and enforce just and reasonable regulations and practices in violation of section 10(d)(1) when the NVOCC unreasonably aborted a shipment, notwithstanding the fact that it had issued an onboard bill of lading, thereby allowing a misleading shipping document to go forward in the shipping process).

None of Complainants' claims allege any mishandling of cargo or any failure by UTi to appropriately transport or deliver its cargo as instructed. Instead, Complainants' claims relate to shipping rates and billing practices, about which Carlstar, very belatedly, developed "concerns." Aside from a formulaic recitation of the statutory provision, Complainants have failed to provide any factual basis to allege a violation of § 41102(c). Therefore, this claim must be dismissed.

(Motion to Dismiss at 11-12.)

Carlstar did not respond to UTi's argument on section 41102(c) in its response to the motion. (Carlstar Response at 5-6.) "[A party's] failure to brief and argue [an] issue is grounds for finding that the issue has been abandoned." *Coalition for the Abolition of Marijuana Prohibition v. City of Atlanta*, 219 F.3d 1301, 1326 (11th Cir. 2000). See *MAVL Capital Inc., IAM AL Group Inc., and Maxim Ostrovskiy v. Marine Transport Logistics, Inc. and Dmitry Alper*, FMC No. 16-16, Decision at 8 (ALJ Sept. 15, 2016) (Initial Decision Partially Dismissing Complaint) (dismissing claims not addressed in response to show cause order), exceptions filed Feb. 8, 2017.

2. Discussion.

Addressing the section 41102(c) allegation, the Commission recently had occasion to identify cases in which an NVOCC had been found to violate section 41102(c), enacted as section 10(d)(1) of the Shipping Act of 1984 and often referred to by that term.

[T]he Commission has indeed recognized that NVOCCs violate section 10(d)(1) when they fail to fulfill NVOCC obligations, through single or multiple actions or mistakes, and therefore engage in an unjust and unreasonable practice. *See Yakov Kobel, et al. v. Hapag-Lloyd A.G., et al.*, [32 S.R.R. 1720, 1730-1731] (FMC July 12, 2013) (Order Vacating Initial Decision In Part and Remanding For Further Proceedings); [*Houben v. World Moving Services, Inc.*, 31 S.R.R. 1400, 1405 (FMC 2010)] (NVOCC failed to make payments “necessary to secure release of cargo” and failed to resolve a commercial dispute); *William J. Brewer v. Saeid B. Maralan (aka Sam Bustani) and World Line Shipping, Inc.*, 29 S.R.R. 6 at 6 (FMC 2001) (NVOCC held to have violated section 10(d)(1) with respect to a single shipment when it refused to release the cargo at destination port unless additional money was paid, and instructed its agent to place the shipment on hold.); *Tractors and Farm Equipment Limited v. Cosmos Shipping Co., Inc.*, 26 S.R.R. 788 (ALJ 1992) (freight forwarder held to have violated section 10(d)(1) by failing to establish, observe and enforce just and reasonable practices with respect to two shipments when the freight forwarder prepared incorrect booking notes and dock receipts, and issued an altered bill of lading containing false information.); [*Symington v. Euro Car Transport, Inc.*, 26 S.R.R. 871, 873 (ALJ 1993)] (NVOCC failed to carry out obligation it was paid to perform, thus failing to “establish, observe, and enforce just and reasonable regulations and practices relating to the receiving, etc. of property”); *Adair v. Penn-Nordic Lines, Inc.*, 26 S.R.R. 11, 19-20 (ALJ 1991)] (NVOCC reneged on agreement and refused to refund freight even though it “never performed the transportation service”); *Maritime Corporation v. Acme Fast Freight of Puerto Rico*, 17 S.R.R. 1655, 1662 (ALJ 1978), *aff’d*, 18 S.R.R. 853 (FMC 1978) (section 10(d)(1) violation found because of NVOCC’s failure to “pay applicable demurrage charges,” subjecting “property of the shipping public to vessel-operating common carrier’s liens”); *Corpco Int’l, Inc., v. Straightway, Inc.*, 28 S.R.R. 296, 300 (1998) (forcing shipper to pay transshipment costs for the release of cargo after shipper had already paid a rate previously agreed was an unreasonable business practice); *Total Fitness Equipment, Inc. d/b/a, Professional Gym v. Worldlink Logistics, Inc.*, 28 S.R.R. 534, 542 (FMC 1998), *aff’d*, *Worldlink Logistics, Inc. v. Federal Maritime Comm’n*, 203 F.3d 54 (D.C. Cir. 1999) (attempting to collect an unreasonable debt by refusing the release of cargo was a violation of the Act). In the preceding cases, failures to act, similar to the failure of Chief Cargo to require original bills of lading prior to releasing cargo, were found to constitute violations of section 10(d)(1).

Bimsha International v. Chief Cargo Services, Inc., FMC No. 10-08, Memorandum at 11-12 (FMC Sept. 4, 2013), *aff’d sub nom. Chief Cargo Services, Inc. v. FMC*, 586 Fed. Appx. 730 (2d Cir. 2014). *Bimsha* itself involved a carrier that released cargo to the consignee without requiring original bills of lading when the consignee had not paid the seller/shipper for the cargo that was released.

While the Commission did not suggest and the undersigned does not suggest that this is an exhaustive list of possible violations of section 41102(c), the proceedings have one thing in common: The respondent did something or failed to do something that interfered with the receiving, handling, storage, or delivery of cargo. Carlstar does not allege that UTi's actions were related to the receiving, handling, storage, or delivery of cargo. For example, Carlstar does not allege that UTi failed to make payments necessary to secure release of cargo (*Houben*); refused to release cargo at destination port unless additional money was paid (*William J. Brewer v. Saeid B. Maralan (aka Sam Bustani) and World Line Shipping, Inc.*); improperly prepared shipping documents causing a delay in the shipment and altering bills of lading to misrepresent the date shipments were loaded on board the ship (*Tractors and Farm Equipment Limited v. Cosmos Shipping Co., Inc.*, 26 S.R.R. at 792); took Carlstar's money, then failed to carry out its obligation to pay for the shipment and arrange to carry it to destination (*Symington v. Euro Car Transport*); reneged on the shipping agreement and refused to refund freight even though it never performed the transportation service (*Adair*); failed to pay applicable demurrage charges, subjecting Carlstar's property to vessel-operating common carrier liens (*Maritime Corporation v. Acme Fast Freight*); forced Carlstar to pay transshipment costs for the release of cargo after Carlstar had already paid a rate previously agreed (*Corpco v. Straightway*); or attempted to collect an unreasonable debt from Carlstar by refusing the release of cargo (*Total Fitness Equipment*).

The factual allegations in Carlstar's Complaint relate to conduct that occurred after completion of the transportation: "[D]iscrepancies between the amount UTi billed Carlstar under the Agreements versus the amount UTi should have billed Carlstar [for the transportation]." (Complaint ¶ 23. *See also* Complaint ¶¶ 23-33.) Carlstar does not appear to allege that any problem occurred with the receiving, handling, storage, or delivery of any shipment transported pursuant to the Agreement that would plausibly state a claim of violation of section 41102(c); therefore, it appears that the motion to dismiss the section 41102(c) claim should be granted.

VI. STATUTE OF LIMITATIONS.

A. The parties' arguments.

Respondents contend that if the Complaint is not dismissed, claims for alleged violations occurring more than three years before the Complaint was filed should be barred.

If Complainants' claims are not dismissed in their entirety, they should at least be dismissed to the extent they seek reparations for alleged violations that accrued beyond the applicable three-year statute of limitations. The Shipping Act, as amended, mandates that a complaint seeking reparations be "filed within 3 years after the claim accrues." 46 U.S.C. § 41301(a). Under the so-called "discovery rule," a claim accrues when the complainant "knows or should know that it has a case against a respondent":

[I]f the injury is such that it should reasonably be discovered at the time it occurs, then the plaintiff should be charged with discovery of the injury, and the limitations period should commence, at that time. But if, on the other hand, the injury is not of the sort that can readily be discovered when it occurs, then the action will accrue, and the limitations period commence, only when the plaintiff has discovered, or with due diligence should have discovered, the injury.

Maier Terminals, LLC v. Port Authority of New York and New Jersey, Docket No. 08-03, 2011 WL 7144003, at *11 (F.M.C. May 16, 2011) (internal quotation omitted).

All of the allegations in the Complaint purportedly occurred during a period from 2011 through 2016. Compl. ¶¶ 23, 26, 31. Complainants filed the Verified Complaint on August 31, 2017, so their claims are barred and must be dismissed to the extent (if at all) they seek reparations for alleged violations of the Shipping Act, as amended, that accrued prior to August 31, 2014.

Although Complainants assert that they were not aware of these alleged violations prior to learning the results of an audit conducted by Ocean Audit, Inc., Complainants have not plausibly alleged facts supporting such an inference. *See Iqbal*, 556 U.S. at 678 (citing *Twombly*, 550 U.S. at 556). Indeed, Complainants have not even specified in the Verified Complaint the date on which they learned of the alleged violations. Carlstar asserts that it was not aware of the alleged overcharges prior to the ocean audit, Compl. ¶ 25, but at the same time contends that it retained Ocean Audit, Inc. in 2016 “due to concerns about the rate UTi was charging.” Compl. ¶ 23. The Verified Complaint does not identify the alleged “concerns” or provide the basis for those “concerns,” nor does the Verified Complaint allege when the “concerns” arose or why Carlstar could not have acted on those “concerns” prior to 2016.

Consequently, even if Complainants’ claims are not dismissed in their entirety, they must be dismissed to the extent they seek reparations for alleged violations occurring prior to August 31, 2014.

(Motion to Dismiss at 14-15.)

In its response, Carlstar argues:

The Commission should likewise reject UTi’s arguments concerning the statute of limitations. (Mot. at 14-15.) As set forth in the Complaint, prior to the Ocean Audit, Carlstar was not aware of UTi’s overcharges alleged in the Complaint. (Compl. ¶ 25.) Furthermore, the Complaint alleges that UTi and Carlstar entered into a series

of tolling agreements beginning in January 2017, which extended a tolling period between the parties to August 31, 2017, and the Complaint was filed on August 29, 2017, within this tolling period. (See Compl. ¶¶ 32-34.) Indeed, the Commission rejected a similar argument that UTi made in the *[Streak] Products* case. See *Streak Products*, FMC NO. 13-04, Order at 11-12 ([ALJ] Oct. 23, 2013).

(Complainants' Opposition to Respondents' Motion to Dismiss at 6.)

In the first order enlarging time for UTi to reply to Carlstar's response to the motion to dismiss, Respondents were instructed "to include in their reply a discussion of the effect of the tolling agreements described in paragraphs 32-34 of the Complaint on Respondents' statute of limitations argument." *Carlstar v. UTi*, FMC No. 17-08 (ALJ Dec. 29, 2017) (Order Enlarging Time to File Reply Memorandum). In its reply, UTi states that the tolling agreements "did not act to extend any claims which had already become time-barred as of December 20, 2016." (Respondents' Reply to Complainants' Opposition and Supplemental Brief to Motion to Dismiss at 10.) I infer from UTi's statement that the tolling agreement executed by Carlstar's counsel on January 13, 2017, and UTi's counsel on January 19, 2017, (Complaint ¶ 32), memorialized an agreement reached on December 20, 2016. Carlstar did not address the statute of limitations in its sur-reply.

B. Discussion.

In certain circumstances, a motion to dismiss claims barred by the statute of limitations may be appropriate.

A claim that an action or portion of an action is barred by the statute of limitations is an affirmative defense. See Fed. R. Civ. P. 8(c)(1), made applicable to this proceeding by 46 C.F.R. § 502.12. A party asserting an affirmative defense must establish all of the essential elements of the defense to warrant judgment in its favor. *E.E.O.C. v. Union Independiente de la Autoridad de Acueductos y Alcantarillados de Puerto Rico*, 279 F.3d 49, 54-55 (1st Cir. 2002); *Johnson v. Bd. of Regents of Univ. of Ga.*, 263 F.3d 1234, 1264 (11th Cir. 2001).

Some federal circuits permit consideration of a motion to dismiss on statute of limitations grounds.

Technically, the Federal Rules of Civil Procedure require that affirmative defenses be pleaded in the answer. Rule 12(b) states that "[e]very defense . . . shall be asserted in the responsive pleading thereto if one is required, except that the following defenses may at the option of the pleader be made by motion. . . ." The defenses listed in Rule 12(b) do not include limitations defenses. Thus, a limitations defense must be raised in the answer, since Rule 12(b) does not permit it to be raised by motion. However, the law of this Circuit (the

so-called “Third Circuit Rule”) permits a limitations defense to be raised by a motion under Rule 12(b)(6), but only if “the time alleged in the statement of a claim shows that the cause of action has not been brought within the statute of limitations.” *Hanna v. U.S. Veterans’ Admin. Hosp.*, 514 F.2d 1092, 1094 (3d Cir. 1975). “If the bar is not apparent on the face of the complaint, then it may not afford the basis for a dismissal of the complaint under Rule 12(b)(6).” *Bethel v. Jendoco Constr. Corp.*, 570 F.2d 1168, 1174 (3d Cir. 1978).

Robinson v. Johnson, 313 F.3d 128, 135 (3d Cir. 2002) (footnote omitted).

Streak Products, Inc. v. UTi, United States, Inc., FMC No. 13-04, Order at 11 (ALJ Oct. 23, 2013) (Order Denying Motion to Dismiss).

Because at this point there has not been a preliminary ruling regarding whether the Complaint states a claim of a violation of section 41104(2)(A) or 41104(4)(A), a preliminary ruling on UTi’s motion to dismiss claims arising before December 20, 2014, is not being made at this time. For the benefit of the parties, however, the following observations are made.

The Complaint alleges that “[p]rior to the Ocean Audit, Carlstar was not aware of UTi’s overcharges alleged in this Complaint.” (Complaint ¶ 25. *See also* Complainants’ Opposition to Respondents’ Motion to Dismiss at 6.)

“The Commission has determined to adopt the discovery rule [for statute of limitations purposes], and to hold that [a complainant’s] cause of action accrue[s] when it [knows or should know] that it [has] a case against [a respondent].” *Inlet Fish Producers, Inc. v. Sea-Land Service, Inc. (Inlet Fish)*, 29 S.R.R. 306 (FMC 2001).

There are compelling reasons suggesting that a flexible approach to the accrual of a cause of action is the better course of action. The Commission has an interest in the precedent established by its adjudication of alleged Shipping Act violations – such adjudication is a form of private enforcement of the rights established by Congress in the statute. Based on this understanding of the Act, a flexible rule permitting the inclusion of complaints that would otherwise be dismissed under a more strict approach would allow the Commission to pass on the legality of allegedly injurious conduct. Also, application of a stricter rule would exonerate certain respondents even if their conduct were unlawful, simply because a potential complainant was unable to identify the existence of its cause of action. This is, of course, to be distinguished from a case in which a complainant is aware of a cause of action but merely fails to act on that knowledge.

Id.

[I]mplementing the rule that a cause of action accrues when a party knew or should have known that it had a claim is consistent with the statutory construction used by numerous courts of appeals. In *Connors v. Hallmark & Son Coal Co.*, 935 F.2d 336, 342 (D.C. Cir. 1991), the court held that unless Congress has provided a directive that a cause of action accrues when an injury occurs, the discovery rule should apply. Explaining the practical application of the rule, the court in *Connors* held:

[I]f the injury is such that it should reasonably be discovered at the time it occurs, then the plaintiff should be charged with discovery of the injury, and the limitations period should commence, at that time. But if, on the other hand, the injury is not of the sort that can readily be discovered when it occurs, then the action will accrue, and the limitations period commence, only when the plaintiff has discovered, or with due diligence should have discovered, the injury.

Id. (citing *Cada v. Baxter Healthcare Corp.*, 920 F.2d 446 (7th Cir. 1990)). The court also noted that this rule has been adopted by “[a]t least eight federal courts of appeals.” *Id.*

Inlet Fish at 314.

Although Carlstar claims that it was not aware of the alleged overcharges until the Ocean Audit, the exhibits attached to the Complaint suggest that the injuries Carlstar specifically alleges in its Complaint should reasonably have been discovered if Carlstar exercised due diligence at the time the injuries occurred; that is, at the time Carlstar received and paid the invoices. For instance, Carlstar alleges that “Invoice Nos. CLT338574300 and CLT338574302 show double billing, as the same Shipment No. 5861142431 is listed on these two (2) invoices, resulting in an overcharge of \$39,384.51. *See* Exhibit 5.” (Complaint ¶ 27.a.) Exhibit 5 claims that UTi invoiced twice for two shipments that arrived at their destination on July 29, 2013. The dates of the two invoices are not stated, but they are separated by only one number, which suggests that they were sent close in time, and presumably shortly after the shipments were delivered and long before December 20, 2013. With due diligence, it appears that Carlisle should have discovered it was sent two invoices for the same shipment when it received them. Exhibit 6, which lists invoice dates of December 12, 2013, and Exhibit 9, which lists invoice dates in 2011, raise similar issues. No invoice date is indicated on Exhibit 8.

VII. ADDITIONAL SUBMISSIONS ARE REQUIRED BEFORE ADDRESSING THE MOTION TO DISMISS 46 U.S.C. §§ 41104(2) AND 41104(4) CLAIMS.

A. The Parties Arguments.

UTi argues that the claims of violation of sections 41104(2) and 41104(4) must be dismissed.

Complainants' claim of a violation of 46 U.S.C. § 41104(2) must . . . be dismissed, because Complainants allege no factual basis whatsoever to support a violation of the provision. Among other things, § 41104(2) prohibits a common carrier, either alone or in conjunction with any other person, directly or indirectly, from providing service in a liner trade that is not in accordance with rates, charges, classifications, rules, and practices contained in a valid and published tariff. Complainants allege that UTi violated § 41104(2) "by charging rates greater than the published tariff and/or the Agreements." Compl. ¶ 37. Beyond this naked assertion, Complainants provide no details whatsoever in the Verified Complaint that UTi provided services not in accordance with the rates contained in any tariff. Indeed, Complainants even fail to discuss the application or relevancy in any way of UTi's potential tariff.

It is apparent that Complainants have not alleged a violation of § 41104(2) in any way. At best, as shown above, Complainants allege straightforward breach of contract claims for alleged failures to charge what was agreed upon per the agreement, bill correctly, substantiate charges, and calculate a documentation fee properly. Because Complainants fail to provide any factual basis to allege a violation of § 41104(2), this claim must be dismissed.

Complainants' claim of discriminatory pricing under 46 U.S.C. § 41104(4) must also be dismissed, because Complainants allege no factual basis whatsoever to support the bald assertion that UTi charged Carlstar "unfair and potentially discriminatory fees." Compl. ¶ 38.

Not only does the Verified Complaint fail to provide a single detail regarding the nature of these alleged "unfair and potentially discriminatory fees," but Complainants even fail to recite accurately what 46 U.S.C. § 41104(4) prohibits. In brief, § 41104(4) prohibits a carrier, directly or indirectly, to engage in any unfair or unjustly discriminatory practices in the matter of rates and charges, among other things, for service provided pursuant to a tariff. Among other things, Complainants allege no facts suggesting that UTi provided services to Carlstar pursuant to a tariff, nor do Complainants allege how UTi engaged in any unfair or unjustly discriminatory practice. Interpreted generously, this claim is at best a textbook example of a "formulaic recitation of the elements of [the] cause of action," which the Supreme Court made clear is *not* sufficient to state a plausible cause of action under Rule 12(b)(6). *Iqbal*, 556 U.S. at 678. As a result, this claim must be dismissed.

(Motion to Dismiss at 12-14 (subpart caption omitted).)

Carlstar contends:

UTi . . . attempts to side-step Carlstar's allegation that UTi violated 46 U.S.C. § 41104(2) by charging rates greater than its published tariff, (Compl. ¶ 37),

contending that the Complaint fails to discuss the “application or relevancy in any way of UTi’s potential tariff[.]” (Mot. at 13). Similarly, UTi attempts to dodge Carlstar’s allegation that UTi violated 46 U.S.C. § 41104(4) by charging unfair and potentially discriminatory fees, (Compl. ¶ 38), contending that Carlstar does not allege “facts suggesting that UTi provided services to Carlstar pursuant to a tariff[.]” (Mot. at 13.) The Commission should not dismiss Carlstar’s claims at this juncture, and should instead permit Carlstar to discover whether and when UTi even filed tariffs with the Commission and/or established some alternative Commission-compliant rate vehicle, and to discover their terms.

UTi needs to justify that the charges were covered by the service contracts, which it did not record, or were authorized by properly filed tariffs or an alternative Commission-compliant rate vehicle. UTi has promised documents to Carlstar for prior extensions to justify the charges. Yet, to date, UTi has not provided the full scope of requested documents, forcing Carlstar to seek the involvement of the Commission. However, the documents that are available clearly indicate that UTi charged amounts in excess of what the Agreements provided. A final resolution may require Carlstar to seek documents from third party carriers since UTi claims not to have retained the documentation.

Indeed, the Commission rejected similar arguments made by UTi in the *Streak Products* case, where the Court noted:

The Complaint alleges that “UTi issued invoices to Streak for FCL shipments in excess of the amounts set forth in UTi’s tariff,” that “UTi has overcharged [Streak] by billing amounts in excess of [UTi’s] lawful tariff from 2003 until the present,” and that UTi “charg[ed] Streak rates greater than those it charged other shippers.” These factual allegations, which must be taken as true when considering a motion to dismiss for failure to state a claim, “are detailed and informative enough to enable [UTi] to respond” to the allegation that UTi violated section 41104(4) by charging Streak rates greater than those it charged other shippers. UTi’s motion to dismiss the claim of violation of section 41104(4) is denied.

See Streak Products, FMC No. 13-04, Order at 9 ([ALJ] Oct. 23, 2013) (internal citations omitted).

(Carlstar Response at 5-6.)

B. Discussion.

UTi acknowledges that UTi operated as a common carrier (an NVOCC) on the shipments. Section 41104(2)(A) states that a common carrier may not provide service in the liner trade that is not

in accordance with the rates, charges, classifications, rules, and practices contained in a published tariff or a service contract. 46 U.S.C. § 41104(2)(A). Section 41104(4)(A) governs common carrier “service pursuant to a tariff.” 46 U.S.C. § 41104(4)(A).

Carlstar argues that “UTi needs to justify that the charges were covered by the service contracts, which it did not record, or were authorized by properly filed tariffs or an alternative Commission-compliant rate vehicle.” (Carlstar Response at 5.) As set forth in Appendix A to the Carlisle-UTi Agreement, it appears that the rates that Carlisle paid for transportation of its cargo resulted from joint Carlisle-UTi negotiations with ocean common carriers that responded to requests for proposals drafted by UTi in accordance with Carlisle’s instructions. Carlisle and UTi jointly chose the carriers invited into process. UTi assessed the carriers and presented its assessment to Carlisle for approval. UTi was responsible for signing ocean freight contracts and the subsequent Minimum Quantity commitment fulfillment. Rates and fees charged by UTi to Carlisle mirrored the actual rates, fees and charges between UTi and each ocean carrier. (Complaint Exhibit 1 Appendix A.)

The rates that UTi charged Carlisle for providing its services do not appear to be in accordance with a tariff, but the rates determined by the Agreement. UTi contends that the Agreement is not a service contract as defined by the Act, however. (Respondents’ Reply to Complainants’ Opposition and Supplemental Brief to Motion to Dismiss at 3-4.) If the service was not provided in accordance with a published tariff or a service contract, UTi’s compliance (or non-compliance) with sections 41104(2)(A) and 41104(4)(A) is implicated.

The Shipping Act grants the Commission the power to exempt agreements from requirements of the Act.

The . . . Commission, on application or its own motion, may by order or regulation exempt for the future any class of agreements between persons subject to this part or any specified activity of those persons from any requirement of this part if the Commission finds that the exemption will not result in substantial reduction in competition or be detrimental to commerce. The Commission may attach conditions to an exemption and may, by order, revoke an exemption.

46 U.S.C. § 40103(a), formerly section 16 of the Shipping Act of 1984, 46 U.S.C. app. § 1715. Pursuant to this authority, in 2004, the Commission issued a regulation exempting “NVOCCs from certain provisions of the Shipping Act. The purpose of this part is to facilitate the filing of NVOCC Service Arrangements (‘NSAs’) and the publication of certain essential terms of those NSAs as they are exempt from the otherwise applicable provisions of the . . . Act.” *Non-Vessel-Operating Common Carrier Service Arrangements*, 69 Fed. Reg. 75850, 75853 (Dec. 20, 2004), codified at 46 C.F.R. § 531.1.

[NSA] means a written contract, other than a bill of lading or receipt, between one or more NSA shippers and an individual NVOCC or two or more affiliated NVOCCs, in which the NSA shipper makes a commitment to provide a certain minimum

quantity or portion of its cargo or freight revenue over a fixed time period, and the NVOCC commits to a certain rate or rate schedule and a defined service level. The NSA may also specify provisions in the event of nonperformance on the part of any party.

46 C.F.R. § 531.3(p).

In 2011, the Commission issued a regulation creating NVOCC Negotiated Rate Arrangements “to exempt licensed and bonded [NVOCCs] from the tariff rate publication and adherence requirements of the Shipping Act . . . , as enumerated herein.” *Non-Vessel-Operating Common Carrier Negotiated Rate Arrangements*, 76 Fed. Reg. 11351, 11360 (Mar. 2, 2011), codified at 46 C.F.R. § 532.1.

“NVOCC Negotiated Rate Arrangement” or “NRA” means a written and binding arrangement between an NRA shipper and an eligible NVOCC to provide specific transportation service for a stated cargo quantity, from origin to destination, on and after receipt of the cargo by the carrier or its agent (or the originating carrier in the case of through transportation).

46 C.F.R. § 532.3(a). The regulation exempts an NVOCC using an NRA from section 41104(2)(A).
46 C.F.R. § 532.2(e).

It appears that the Carlisle Transportation Products Agreement may be an NSA or an NRA. If possible, it is in the interest of judicial economy to establish the authority pursuant to which UTi transported the shipments at this stage of the proceeding before ruling on the motion to dismiss the section 41104(2)(A) and 41104(4)(A) claims. The views of the parties are essential on this question. Therefore, it is hereby

ORDERED that on or before March 9, 2018, Respondents serve and file a memorandum answering the following questions:

1. Did UTi provide service described in the Carlisle Transportation Products Agreement in accordance with the rates, charges, classifications, rules, and practices contained in a tariff?
2. Did UTi provide service described in the Carlisle Transportation Products Agreement in accordance with the rates, charges, classifications, rules, and practices contained in a service contract?
3. Did UTi provide service described in the Carlisle Transportation Products Agreement in accordance with the rates, charges, classifications, rules, and practices contained in an NVOCC Service Arrangement as permitted by and in compliance with 46 C.F.R. Part 531?
4. Did UTi provide service described in the Carlisle Transportation Products Agreement in accordance with the rates, charges, classifications, rules, and practices contained in an

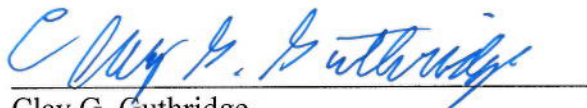
NVOCC Negotiated Rate Arrangement as permitted by and in compliance with 46 C.F.R. Part 532?

5. Did UTi provide service described in the Carlisle Transportation Products Agreement in accordance with the rates, charges, classifications, rules, and practices that was not a tariff, a service contract, an NVOCC Service Arrangement, or an NVOCC Negotiated Rate Arrangement? If so, how does that comply with section 41104(2)(A) of the Shipping Act?
6. Explain the process by which rates charged pursuant to the Carlisle Transportation Products Agreement were established with the vessel-operating common carriers and the corresponding rates between UTi and Carlisle.
7. Complainants allege that “[t]he Parties executed a Third Amendment on or before June 2015 to extend the expiration of the 2014 Second Amendment to December 31, 2015 (‘2015 Third Amendment’).” (Complaint ¶ 21.) Complainants also allege that “Carlstar conducted an internal audit of the pass-through and miscellaneous charges paid by Carlstar to UTi from January 2014 through April 2016.” (Complaint ¶ 31.) Did some UTi-Carlisle shipments take place in 2016? If so, were rates charged pursuant to an extension of the Carlisle Transportation Products Agreement or pursuant to some other source?

Any factual assertions not based on documents already in the record should be supported by affidavit and/or other competent evidence. Depending on the responses received from the parties, it may be appropriate to convert the motion to one for summary decision. *See* Fed. R. Civ. P. 12(d) (conversion of a motion to dismiss to a motion for summary judgment). Respondents may include a request for reconsideration of the preliminary rulings in their memorandum.

On or before March 23, 2018, Complainants may file a response to Respondents’ memorandum. Any factual assertions not based on documents already in the record should be supported by affidavit and/or other competent evidence. Complainants may include a request for reconsideration of the preliminary rulings in their memorandum.

On or before March 30, 2018, Respondents may file a reply to Complainants’ memorandum.


Clay G. Guthridge
Administrative Law Judge